

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No.: 20-12

NNABUGWU CHINEDU ANDREW, AVERS LOGISTICS LTD. and CJ DELUZ NIGERIA LTD.,

Complainants,

— vs. —

MARINE TRANSPORT LOGISTICS, INC., ALLA SOLOVYEVA and RAYA BAKHIREV,

Respondents.

COMPLAINANTS' REPLY BRIEF

Pursuant to 46 C.F.R. §§ 502.1 *et seq.* and the Presiding Officer's Order of August 3, 2021 Complainants, through their Counsel, Marcus A. Nussbaum, Esq., hereby file this Reply Brief and respond the opposition brief of respondents Marine Transport Logistics, Inc., Alla Solovyeva and Raya Bakhirev.

As set forth below, respondents have abjectly failed to interpose opposition sufficient to warrant denial of complainants' claims herein, or to overcome the fact that complainants have met their burden of proving each and every element required in order to establish respondents' violations of section 41102(c) of the Shipping Act of 1984, 46 U.S.C. §40101 *et seq.* (the "Act").

In opposing complainants' initial brief, respondents have disingenuously argued that: 1) complainants' claims were allegedly barred by the statute of limitations and doctrine of laches; and 2) that complainants allegedly abandoned the subject vehicles. The newly advanced theories by counsel for respondents on the foregoing two issues are neither supported by the record nor are they relevant on the issue of respondents having violated section 41102(c) of the Act by *inter alia*:

releasing complainants' automobiles to unauthorized consignees, detaining various automobiles and refusing to ship them due to allegedly unpaid storage charges for other unrelated automobiles; by misdelivering said automobiles; and in one instance, by destroying two automobiles and cutting them in half without receiving instructions from complainants to do so.

Respondents have failed to interpose any substantive opposition to the proposed *factual allegations* asserted by complainants, as well as the legal arguments set forth in complainants' brief as to respondents having continuously engaged in unlawful conduct on a normal, customary and continuous basis which amounts to a "practice" related to the receiving, handling, storing, and/or delivering of cargo prohibited by section 41102(c) of the Act. More specifically, respondents have failed to interpose any substantive opposition to complainants arguments regarding the seventeen (17) automobiles placed into MTL's custody for shipment during the course of the parties' three (3) year business relationship, wherein respondents refused to provide complainants with shipping documents, such as Ocean Liner Bills of Lading, Dock Receipts, MTL House Bills of Lading, Shipper's Export Declarations filed online through Automated Export System ("AES" used by Federal Export Regimes), and invoices for ocean freight.

Respondents have also failed to interpose any substantive opposition to complainants' arguments regarding respondents' refusal to provide complainants with statements of account so that complainants could see how their monies (wired to MTL and held by MTL on behalf of complainants as a deposit for paying ocean freight and others charges after cars were exported) were being applied. As the Presiding Officer may recall, complainants have argued in their opening brief that respondents had a practice of: a) refusing to follow the Shipper's (complainants') instructions as to how to apply their money; and b) continually keeping complainants in the dark regarding which wire transfers were being applied to particular shipments

Accordingly, it is respectfully submitted that respondents have conceded to the factual allegations proffered by complainants as well as complainants' legal arguments regarding respondents' violations of section 41102(c) of the Act, and have waived any argument in opposition thereto. See, e.g., Millner v. Bayada Nurses, Inc., No. CIV. 05-3164(RBK), 2006 WL 231993, at *2 (D.N.J. 2006) (citing Farnham v. Windle, 918 F.2d 47, 51 [7th Cir.1990] which explains that failure to raise legal argument in opposition to motion to dismiss results in waiver). See, e.g., D'Angio v. Borough of Nescopeck, 34 F.Supp.2d 256, 265 (M.D.Pa.1999) (providing that the non-moving party waived any argument when he failed to address it in a responsive brief).

Finally, it is respectfully submitted that as a result of respondents' failure to comply with to comply with basic rules of discovery and the directives of the Presiding Officer's Scheduling Order of September 30, 2020, paragraph "2" of which required that "[e]ach factual proposition shall be followed by exact citation to evidence that the party contends will support the proposed finding of fact..."; paragraph "4(e)" of which required respondents to cite to a document in an appendix already in the record rather than include the same document in its own appendix; and paragraph "4(b)" of which required respondents to number the pages of their appendix sequentially with a prefix of "RX" in these proceedings; and further due to respondents already having been exposed for producing false invoices, bills of lading and emails in these proceedings and others (multiple copies of which have conflicting information making it impossible to ascertain the "true" version), it is impossible for complainants to ascertain whether or not the documents referenced in this respondents' proposed finding of fact were actually produced by respondents as part of the hundreds of pages of documents produced by them during discovery. For these reasons, complainants proactively undertook to mitigate this issue and provide as part of their Appendix "F", all documents produced by respondents which complainants rely upon and which

complainants marked with a prefix of "RX" beginning with RX001 and ending with RX242. Respondents have not used these documents. For these reasons, it is respectfully requested that the Presiding Officer consider complainants' proposed findings of fact to be unopposed.

With regard to Respondents' Response to Complainants' Proposed Findings of Fact, respondents have additionally failed to comply with paragraph "3" of the Presiding Officer's Order of September 30, 2020 which required that this document shall set forth verbatim each proposed finding of fact in another party's proposed findings of fact, then admit or deny the proposed finding. Respondents have failed to set forth verbatim each proposed finding of fact and accordingly, their response should be disregarded by the Presiding Officer.

ARGUMENT

I. COMPLAINANTS CLAIMS ACCRUED WITHIN THREE YEARS OF THE FILING OF THE COMPLAINT IN THIS MATTER AND ARE NEITHER BARRED BY THE STATUTE OF LIMITATIONS NOR THE DOCTRINE OF LACHES

In section I of respondents' brief, while having nothing to do with the statute of limitations or the doctrine of laches, respondents argue as an initial matter that Raya Bakhirev should be dismissed from this case, that the claims against her are allegedly frivolous and that her role as an accountant/bookkeeper has no relationship to any allegation of a violation of the Shipping Act - - this could not be further from the truth. As set forth below, respondents' argument that Complainants' 194 proposed findings of fact fail to mention Bakhirev aside from her role as MTL's accountant/bookkeeper is also disingenuous.

In the first instance, it was Bakhirev, together with Alla Soloveyva that was personally and intimately involved in complainants' affairs with MTL. It was Bakhirev that managed complainants' monies that were wired to MTL and placed in MTL's account on behalf of complainants to be applied for ocean freight, storage and other related charges, and it was Bakhirev

that payment receipts for the wires received by MTL from complainants. (See, e.g., CX0096-CX0099; Appendix “E” to Complainants’ Proposed Findings of Fact at p. 16, ¶ 72 and Exhibit “DD” thereto; RX0022-RX0035 wherein she admits to her involvement with and knowledge of the manner in which complainants’ monies were handled by MTL.

Overall, and to the extent that the MTL had a regular custom and practice of mishandling complainants’ monies whether by charging complainants for services not provided; by keeping complainants in the dark as to the status of their funds and the manner in which monies were applied to debts allegedly due and owing; by overcharging excessive storage charges, it was always Raya Bakhirev personally, as accountant and bookkeeper (See, FF# 9), together with Alla Solovyeva personally (See, FF# 7) that were the two individuals that acted together to commit the unlawful acts described herein. MTL is a corporation and could not execute its unlawful acts without living breathing persons.

In sum, Bakhirev and Solovyeva acted in concert to commit the harms suffered by complainants. Both of them are Qualifying Individuals (“QI’s”) for an OTI license within the meaning defined by the Federal Maritime Commission and both were charged with the knowledge that their actions were in violation of the Act. (See, generally FMC Docket Nos.: 16-16 and 15-04 establishing that Solovyeva and Bakhirev were QI’s). In the matter at bar, while MTL’s employees told complainants that they always had a positive balance on account with MTL (See, FF#’s 120 and 179), it was at all times Bakhirev who emailed payment receipts to complainants, and now, under her watch, complainants’ monies have simply disappeared.

To the extent that Bakhirev’s personal involvement and liability is in question, it is also relevant to note here that MTL’s Tariff, Rule 2-140, states that:

a “shipper will be entitled to 30 days free storage starting from the date of arrival of the vehicle at the carrier warehouse in order to allow time to provide the carrier

with the vehicle title, absent which the vehicle will not be loaded into a container.”
See, Docket No. 16-16, ID on remand at p.7 ¶ 18.

It was Bakhirev and Solovyeva personally that were responsible for collecting complainants’ monies and then charging complainants’ excessive storage fees in violation of MTL’s published tariff. Put simply, and within the context that both Solovyeva and Bakhirev were both “QI’s” within the meaning of the Commission’s definition, each of these individual respondents unlawful acts were intricately intertwined and they both knowingly (based upon their experience and knowledge as QI’s) conspired together to commit the violations of the Act complained of herein - - one could not function without the other as far as the violation are concerned.

Additionally, the language at the bottom of the MTL House Bill of Lading HBOL 41677 (for the cars at issue herein) reads as follows:

Payment must be received no later than 2 weeks after sailing date. Past due invoices are subject to mandatory Late Fee (\$50) and Documentation Fee (\$50)
(See, Complainants’ Proposed FF27)

It was Bakhirev and Solovyeva personally that were responsible for violating the above stated policy, by demanding money up front and by refusing to ship new cargo on the alleged basis of an old debt when charges due for the newer cargo would have been due.

All MTL storage invoices¹ for the 17 cars at issue contain a defective “Bill to” address (to wit: Bill to: Nnabugwu Chinedu Andrew, 63 New Hook Road, Bayonne NJ 07002) when Nnabugwu Chinedu Andrew was at all times never located at that address. As MTL’s accountant

¹ The storage invoices also contain the following language: “Payment must be received no later than 10 business days after sailing date”. As set forth above, if payment was not due until after the sailing date, then respondents’ refusal to ship new cargo upon the instructions of complainants and instead regularly applied his monies towards storage for unrelated shipments was a practice that amounted to a violation of the Act. On this issue, the Presiding Officer is respectfully referred to Complainants’ Appendix “F” at page bates nos.: RX0082, RX0064, RX0065, RX0075, RX0066, RX0074, RX0071, RX 0073, RX0067, RX0069, RX0072, RX0068, RX0063, RX0070, RX0076 RX0086, RX0062 and RX0080.

and bookkeeper, Bakhirev issued the invoices and was aware that Nnabugwu Chinedu Andrew was at all time located overseas in Nigeria.

Additionally, it was Bakhirev and Solovyeva who charged complainants \$500.00 for each car (for a total of \$1,000.00) (See complainants' FF# 162) for the two at issue herein that were cut and dismantled by MTL (to wit: a 2009 Toyota Venza [Vin# 4T3ZK11A79U017319] and a 2008 Lexus RX350 [Vin# 2T2HK31U58C080845])). See, Compl. Proposed, FF# 190, FF191 and Appendix "D" at ¶ "5" See, Compl. Proposed FF#'s 163-165.

Further, and in an attempt to resolve this matter without involving the Commission, the undersigned counsel on June 15, 2018 wrote to Mr. Pogil: "...Please send the itemized invoices and house bill of loading immediately which we have been asking for since May 18, 2018, so that we can settle this account...". (See Respondents' Response to Motion for Reconsideration of June 21, 2021 at Exhibit "4" and Compl. Proposed FF# 111). MTL, Raya and Alla ignored this request (when MTL also unreasonably charged excessive storage charges for the storage of the subject vehicles).

Bakhirev was always directly involved. For example, on April 18, 2017, more than three years before this complaint was filed, MTL wrote to the Complainants:

"Dear Chinedu, per management, we will not be able to load containers until payment for storages is received. In this case, we do have available funds on your account. We need your confirmation to apply payment..." (Respondent's Exhibit #14).

Then, on May 9, 2017, complainants sent an e-mail to Bakhirev and others at MTL which read as follows:

"...I have about \$7,000.00 and ask you to load two containers for me and send me the balance..." (See FF# 29)

On October 11, 2017 an employee of MTL confirmed as follows:

“...You have \$5,954.00 available”. (See, FF# 113).

Subsequent thereto, another employee from MTL confirmed the existence of a positive balance with MTL (explaining: “Could I take \$300 per vehicle from your last payment [\$3000] for the warehouse) from MTL could withdraw storage charges of \$300/per vehicle. See, FF# 120 explaining as follows:

On November 3, 2017 at 15:36, Denis Zenkovich wrote, via email, on behalf of MTL, to complainants, as follows:

“ Sir, Chinedu 2010 VENZA.....041102
2002 RX300.....257130

....You agree to pay for the storage \$300/per vehicle. Could I take \$300 per vehicle from your last payment (\$3000) for the warehouse in order to get a permit to bring these two cars to the port today...

(See, FF# 120)

On May 18, 2018, the undersigned counsel sent email request (via counsel) to MTL for copies of complainants’ statements of account with MTL. (See, FF#111). That request was ignored by MTL and neither counsel, Solovyeva, nor Bakhirev responded to that request and continued to keep complainants in the dark as to the status of their monies on account with MTL. A further example is the fact that there is absolutely no proof whatsoever that MTL ever sent complainants the payment receipts or invoices described in FF#’s 38, 39, 46, 48, 49, 61-63, 67-70, 82 and 86.

The MTL Payment Receipts produced by respondents in this matter (and created by Bakhirev) all show that that the total amount due to MTL from complainants was somehow always zero (FF#’s 114-117) while complainants actually had a positive balance with MTL. Bakhirev additionally refused to follow complainants’ instructions as to how to apply complainants’ wire transfers to MTL for specific charges (See, FF#’s 53-57, 60, 58-59, 94, 99 and 101). Also, all documents entitled “MTL Payment Receipt” produced by respondents in response to

complainants' document demands, and which contain a notation reflecting receipt of a wire transfer from complainants (used for payment of invoices) do not account for, reflect, and/or indicate the exact date when MTL received the wire transfer. The Payment Receipts simply note that a wire transfer is somehow being applied towards payment of invoices. The Payment Receipts make it impossible to see how the wires were applied to charges in instances when MTL received multiple wires with identical amounts from complainants. (See, FF# 31).

In sum, it could have been no one other than Alla Solovyeva and Bakhirev who created and back dated all storage invoices produced in this matter which they claim were allegedly provided to complainants (which is expressly denied by complainants). The evidence on the record additionally establishes that there is no record that MTL ever billed complainants for late fees and documentation fees because complainants always had a positive balance on account with MTL. (See, FF#'s 82- 91; 109).

Further as to the personal involvement of Bakhirev and Soloyeva but also on the issue of any frivolous statute of limitations and/or laches argument proffered by respondents, the Presiding Officer is respectfully referred to the following table of the subject cars located in MTL's New Jersey, Los Angeles, Houston and Savannah facilities:

MTL New Jersey Inventory of Complainants' Automobiles			Storage Invoice #	Bates #	Date of Issue	Amount
1	2007 LEXUS RX350	VIN # 2T2HK31U47C022708	82086	RX0074	May 22,2018	\$3,290.00
2	2001 TOYOTA CAMRY	VIN # 4T1BF22K51U966626	82145	RX0071	May 23,2018	\$3,430.00
3	2002 LEXUS ES 300	VIN # JTHBF30G725019803	82088	RX0072	May 22,2018	\$4,620.00
4	2003 LEXUS ES 300	VIN # JTHBF30G830101344	82146	RX0070	May 23,2018	\$4,550.00
5	2002 LEXUS RX 300	VIN # JTHJF10UX20257130	82154	RX0062	May 23,2018	\$4,390.00
6	2004 TOYOTA CAMRY	VIN # 4T1BA32K34U502288	82147	RX0069	May 23,2018	\$4,310.00
7	2006 LEXUS GS 300	VIN # JTHBH965865006993	82085	RX0075	May 22,2018	\$2,680.00
8	2007 TOYOTA AVALON	VIN # 4T1BK36B57U245968	82087	RX0073	May 22,2018	\$3,650.00
9	2010 TOYOTA VENZA	VIN # 4T3BK3BBXAU030283	82153	RX0063	May 23,2018	\$4,320.00
10	2010 LEXUS RX 350	VIN # 2T2BK1BA8AC039422	82152	RX0064	May 23,2018	\$1,840.00
11	2009 TOYOTA VENZA	VIN # 4T3ZK11A79U017319	82151	RX0065	May 23,2018	\$2,130.00
12	2011 TOYOTA VENZA	VIN # 4T3ZK3BB2BU041102	82149	RX0067	May 23,2018	\$4,300.00
13	2008 HONDA ACCORD	VIN # 1HGCP26728A103906	82148	RX0068	May 23,2018	\$4,310.00
14	2008 LEXUS RX 350	VIN # 2T2HK31U58C080845	82150	RX0066	May 23,2018	\$2,960.00
All Storage inv were billed to: NNABUGWU CHINEDU ANDREW63 New Hook Rd. Bayonee, NJ 07002 USA					TOTAL AMOUNT	\$50,780.00
					AMOUNT DUE	\$0.00
					See RX0202 - RX0205	

MTL Los Angeles Inventory of Complainants' Automobiles			Storage Invoice #	Bates #	Date of Issue	Amount	Comments	
	1996 Toyota Avalon	4T1BF128XTU132140	82084	RX0076	22-May-18	4,190.00	This was paid see RX0202 - RX0205	
			74420	RX0086	1-Nov-17	Flat Fee 500.00	This was paid on 11/01/2017 see RX0202 - RX0205	
							See also Invoice No.: 67123 RX0147	9-Mar-17

MTL Houston Inventory of Complainants' Automobiles			Storage Invoice #	Bates #	Date of Issue	Amount	Comments	
2006 Toyota 4Runner	JTEZU14R560072942		78952	RX0080	14-Mar-18	2,240.00	This was paid see RX0202 - RX0205	
							See also Invoice No. 72898	
							RX0096	SEPT 20 2017

MTL Savannah Inventory of Complainants' Automobiles		Storage Invoice #	Bates #	Date of Issue	Amount	Comments		
2007 Toyota 4Runner	JTEZU14R670096538	77411	RX082	2-Feb-18	2,230.00	This was paid see RX0202 - RX0205		
						See also Invoice No.: 73015	RX0095	SEPT 22, 2017

No Claims Barred as a Result of Statute of Limitations and/or Doctrine of Laches

As the Presiding Officer can see, all storage invoices (upon which the 41102(c) claims are based) were issued within three (3) years of the filing of complainants' complaint in this matter. Accordingly, and pursuant to the rule cited by respondents (to wit: in Maher Terminals, LLC v. The Port Authority of New York and New Jersey, 32 S.R.R. 1185, 1191 [FMC 2013]) complainants' claims accrued and the problem between the parties materialized when MTL injured

complainants' business by issuing the subject storage invoices, and were thus timely under the statute of limitations under the Act.

As set forth above, the MTL House Bills of Lading for the cars at issue herein reads as follows:

Payment must be received no later than 2 weeks after sailing date. Past due invoices are subject to mandatory Late Fee (\$50) and Documentation Fee (\$50)

(See, Complainants' Proposed FF27)

Similarly, and as set forth above, the storage invoices also contain the following language:

"Payment must be received no later than 10 business days after sailing date".

The foregoing is relevant to both respondents' statute of limitations argument and the issue of the personal liability of Solovyeva and Bakhirev. At all times relevant to the instant lawsuit, Respondent Solovyeva who personally gave instructions to MTL not to ship Complainants' cargo. See, FF# 152. It was also Alla Solovyeva who, on April 10, 2018 personally refused to provide new rates requested by complainants allegedly due to unpaid invoices (FF# 153) and who personally gave instructions to MTL not to follow complainants' instructions dated March 9, 2018 for thirteen of the subject automobiles. See, Appendix "B" at ¶ 50 and Appendix "E" at ¶ 50. See also, Appendix "A" at CX0082 and Appendix "D" at ¶ 3(a).

As to the statute of limitations for claims brought under the Act, the Commission has adopted what is called the "discovery rule" to determine when a cause of action accrues under the Shipping Act. "The Commission has determined to adopt the discovery rule, and to hold that [a complainant's] cause of action accrue[s] when it [knows or should know that it [has a case against [a respondent]."] Inlet Fish Producers, Inc. v. Sea-Land Service, Inc., 29 S.R.R. 306, 313 (2001).

As to the storage invoices identified above in which complainants were charged excessive storage charges in violation of MTL's tariff, all invoices were issued within three years of the filing of the complaint. (See, generally, Initial Decision on Respondents' Motion for Partial Summary Decision, dated September 15, 2015 in the matter of Baltic Auto Shipping Inc. v. Michael Hitrinov et al., Docket No.: 14-16, on the issue of claims accruing at the time that excessive charges are imposed, both prospectively and retroactively).

Accordingly, there is no merit to respondents' argument that the statute of limitations somehow bars complainants' claims in this matter.

II. RESPONDENTS' ARGUMENT THAT COMPLAINANTS ALLEGEDLY ABANDONED THE SUBJECT VEHICLES HAS NO MERIT AND IS CONTRADICTED BY THE EVIDENCE ON THE RECORD AND BY RESPONDENTS' OWN DOCUMENTS

As to respondents' argument regarding complainants allegedly having abandoned their vehicles, complainants again raise the issue of respondents having failed to follow the instructions of the Presiding Officer regarding marking of exhibits, and ask that the Presiding Officer disregard respondents' reliance upon exhibits in support of their argument regarding abandonment.

On page "13" of Respondents' Brief, respondents refer to a May 5, 2017 email regarding MTL's storage policy of thirty (30) days free if the complainants ship with them. Complainants agree that this was MTL's policy but state again that respondents violated their own policy when they issued excessive storage charges and when they failed to provide thirty free days of storage for five vehicles when they charged for storage starting from the first day that the cars were placed in respondents' custody and control (See, Storage Invoices bates Nos.: RX0064-RX0068). The entry dates for the 17 cars, including the following five cars are also referenced in respondents' Exhibit "5" (see also Complainants' response to Respondents' proposed FF# 1) as follows:

2010 Lexus RX350 (Vin#2T2BK1BA8AC039422);
2009 Toyota Venza (Vin#4T3ZK11A79U017319);
2008 Lexus RX350 (Vin#2T2HK31U58C080845);
2011 Toyota Venza (Vin#4T3ZK3BB2BU041102);
2008 Honda Accord (Vin#1HGCP26728A103906)

Respondents also failed to provide thirty days of free storage for four additional vehicles (RX0063, RX0069, RX0073, RX0075):

MAKE	MODEL	YEAR	VIN ENDING IN
Lexus	GS 300	2006	6993
Toyota	Avalon	2007	5968
Toyota	Venza	2010	0283
Toyota	Camry	2004	2288

Respondents disingenuously argue that respondent's proposed findings of fact (§§ 3-38) list the invoices that were allegedly provided to the Complainants for the subject vehicles, and which allegedly were never satisfied. This is contradicted by the fact that all of the subject invoices were issued by MTL in 2018 (with the exception of the Savannah, California, and Houston cars which invoices were issued in 2019), and as set forth above, all invoices were issued after May 18, 2018 when the undersigned counsel sent an email request to MTL's counsel for copies of MTL's statements.

Also, respondents' Exhibit "11" contains Invoice 16069 from Savanna for the vehicle Vin# ending in 6538, dated 03/23/2019 and due on 04/22/2019. However, MTL's storage invoice 16069 from Savanna for the vehicle Vin # ending in 6538 (See RX0082) is dated 2/2/2018 and is in the sum of \$2,230.00 for storage of this car from 9/21/17 through 5/1/18. This begs the question as to how MTL could claim that complainants had abandoned this vehicle in May 2018 when during this time period, the vehicle was allegedly physically located in a storage facility under the control of Baltic Auto Shipping Corp until March 16, 2019. Exhibit "12" contains Invoice I-10043-17 from CA, for vehicle Vin # ending in 2140, dated 1/09/2019 and due on 1/23/2019. Further, MTL's

storage invoice 74420 and Invoice 82084 from CA for the vehicle Vin # ending in 132140 (See RX0086, RX0076) is dated May/22/2018 and is in the sum of \$4,190.00 for storage of this car from 3/9/17 through 5/1/18. This begs the question as to how MTL could claim that complainants had abandoned this vehicle in May 2018 when during this time period, the vehicle was allegedly physically located in a storage facility under the control of NN Safeway Shipping Co. from California.

Last, no storage invoices were provided from the Houston warehouse for vehicle Vin# ending in 072942. See Complainants response to Respondents' proposed FF# 49.

The Presiding Officer is additionally asked to note that: 1) the 2002 LEXUS RX 300 with VIN # JTHHF10UX20257130 was allegedly released from MTL's warehouse on September 26, 2018 (see Appendix "F", RX0198); 2) the 2002 LEXUS ES 300 with VIN # JTHBF30G725019803 was allegedly released from MTL's warehouse on December 21, 2018 (see Appendix "F", RX0201); and 3) the 2006 LEXUS GS 300 with VIN # JTHBH965865006993, together with the 2007 TOYOTA AVALON with VIN # 4T1BK36B57U245968 and 2007 LEXUS RX350 with VIN # 2T2HK31U47C022708 were all allegedly released MTL's warehouse on June 27, 2019 (See Document #25 filed on this Docket on June 21, 2021 at Exhibit "1". For all of these cars, the "Cargo Release" produced by respondents fails to identify to whom the cars were released, and for all of these cars, MTL ignored complainants' demands to provide shipping documentation, invoices, statements of account and other information as to the status of these cars. MTL ignored complainants' demands, then claimed that storage charges were allegedly due and that the vehicles were then abandoned, sold, or otherwise disposed of without notifying complainants. For these reasons, the Cargo Releases should be ignored by the Presiding Officer.

To the extent that respondents purport to have asserted a lien on vehicles which were allegedly abandoned, that argument has already been rejected by the Presiding Officer in matter involving MTL, to wit: *MAVL Capital Inc. et al. v. Marine Transport Logistics Inc. et al.*, FMC Docket No.: 16-16. In the Initial Decision on Remand issued on September 29, 2021 in that matter, the Presiding Officer will recall having addressed the issue of MTL's contention that:

Mr. Ostrovskiy abandoned the vehicles, noting that there are no emails regarding storing, repairing, or shipping the Mercedes, and arguing that MTL cannot store vehicles for free and had no choice but to find a dealer who would cover outstanding storage.

See, MAVL, *supra*, Initial Decision on Remand, dated September 29, 2021 at p. 24. See also, ID on Remand at p. 1, explaining that: "MTL argues, in relevant part, that Complainants abandoned the vehicles so 'MTL had no choice but to find a dealer who would cover outstanding storage,' and that 'MTL was entitled to exercise a lien over the subject vehicles as MTL is not a storage company, and vehicles generally are stored short term in contemplation of export'".

The Presiding Officer will also recall that pp. 21-31 of the Initial Decision on Remand addressed in detail the reasons why there was absolutely no merit to MTL's argument that Mr. Ostrovskiy abandoned his vehicles, and rather, that the vehicles were, in fact, exported, however, they were not exported on behalf of Complainants. Rather, the vehicles were sold overseas to cover storage fees without sufficient notice to Complainants that the vehicles were considered junk or abandoned, that they would be subject to a lien, or that the vehicles would be disposed of and liquidated. Id.

Without burdening the Presiding Officer with a regurgitation of facts and law on the issue of abandonment and assertions of liens with which the Presiding Officer is well familiar, suffice it to say that the same set of facts and law apply to the matter at bar. Complainants rely upon pp. 21-31 of the Initial Decision on Remand in *MAVL*, *supra*, on this issue. To the extent that vehicles

were actually shipped, MTL did not ship the vehicles for Complainants, but rather as part of the liquidation process. *Id.* at p. 21. As in the matter of MAVL, *supra*, in the matter at bar, if MTL was allegedly entitled to assert a lien, the lien was not exercised in a commercially reasonable manner. As in the matter of MAVL, *supra*, in the matter at bar, there is no contemporaneous evidence that such a lien was properly executed, no notice to Complainants regarding MTL's exertion of the lien or intent to liquidate the cargo, no good faith, commercially reasonable procedures followed, and no legal process.

As in the matter of MAVL, *supra*, in the matter at bar, the evidence demonstrates that MTL knew it had an obligation to notify Complainants prior to auctioning or abandoning cargo and failed to do so. All of the storage invoices produced by respondents in this matter are dated after their last demand that complainants pay for storage charges in order to have the vehicles shipped. Put simply, invoices for storage cannot be dated after a formal demand for payment of storage (as a precondition for shipping stored vehicles) has been made. Accordingly, respondents' proposed findings of fact Nos.: 3-38 simply make no sense and cannot have taken place. Additionally, and pursuant to MTL's records, complainants always had a balance due of \$0.00 with respondents. See, RX0202-RX0205.

To the extent that respondents argue that complainants received copies of all invoices for the outstanding charges on April 4, 2018 via DHL, this is impossible because all MTL New Jersey storage invoices were dated after April 4, 2018: (See, table above and RX0082, RX0064, RX0065, RX0075, RX0066, RX0074, RX0071, RX 0073, RX0067, RX0069, RX0072, RX0068, RX0063, RX0070, RX0076, RX0086, RX0062, RX0080). The invoice from Baltic Auto in Savannah for automobile with VIN# ending in 096538 was date on dated March 23, 2019 and due on April 22, 2019. The invoice from NN Safeway shipping Co. for automobile with VIN# ending in 132140

was dated January 9, 2019 and due on January 23, 2019. Respondents refused to provide during discovery the invoice for automobile with VIN# ending in 072942.

Additionally, and with regard to MTL Invoice No.: 77411 automobile with VIN# ending in 096538 (RX0082), the date of Baltic Auto in Savannah's invoice contradicts with respondents' argument that complainants received copies of all invoices for the outstanding charges on April 4, 2018. Baltic Auto's invoice is dated March 23, 2019 and is for \$2480 for storage from September 21, 2017 through March 16, 2019 while MTL's Invoice is dated February 2, 2018 and is for \$2,230.00 for storage from September 21, 2017 through May 1, 2018 (See RX0082).

Further and with regard to automobile with VIN# ending in 132140; MTL's Invoice # 74420 (RX0086) for \$500 included a discount of \$1520 for 202 days and this invoice was paid. (See FF# 30). However, in Invoice 82084 (RX0076) in the sum of \$4190.00, MTL not only reversed the discount but charged \$500.00 again. (See, FF# 30).

To the extent that respondents argue with regard to the two vehicles that were cut and dismantled and that complainants allegedly do not cite to any evidence where anything even remotely to this happened, as set forth in Complainants' Response to Respondents' Proposed Findings of Fact, the cars referenced by respondents are completely different cars than those alleged by complainants to be cut in half. The Presiding Officer is respectfully first referred to automobile with VIN# ending in 3906 which has nothing to do with those alleged by complainants to be cut in half. Further, this car (VIN# ending in 3906) was loaded into a container without any cutting or dismantling. Two other cars at issue herein were the cars that were cut and dismantled by MTL (to wit: a 2009 Toyota Venza [Vin# 4T3ZK11A79U017319] and a 2008 Lexus RX350 [Vin# 2T2HK31U58C080845]). See, Compl. Proposed FF# 190 and Appendix "D" at ¶ "5" (a), see also Complainants Response to Respondents' Proposed FF#'s 40 – 42.

As to respondents' argument that: "Complainants refused to pick up their vehicles (Respondents' Exhibit #7), and they never went to even check the conditions of the vehicles, so there is no basis to say that the automobiles were cut in half". The exhibit referenced by respondents does not establish that complainants never came to inspect the subject vehicles. Additionally, the date on the subject email in the exhibit is June 25, 2018 and said email, is between Andre Bou Jaoude and MTL. The MTL HBOL for the vehicles was received two days after the e-mail of June 27, 2018 (See, Compl. Proposed FF 25) and also contains a defective consignee address (to wit: Consignee: Nnabugwu Chinedu Andrew, 63 New Hook Road, Bayonne NJ 07002 [See, Compl. Proposed FF 26.]). On MTL's Dock Receipt and on the MSC BOL, there was a completely different Consignee and notify party listed therein (to wit: complainants). See Complainants' proposed FF#'s 155 – 156. See also, Complainants Response to Respondents' Proposed FF# 43.

It is respectfully submitted that MTL was obligated to release the vehicles after having received instructions from the complainants to release them.

III. RESPONSE TO RESPONDENTS' "ISSUES AS TO ADDITIONAL DISCOVERY"

As to vehicle with VIN# ending in 2288, while respondents argue that:

MTL is listed as the Forwarding Agent as to this shipment of a vehicle that has been abandoned by Complainants. It appears in this transaction, MTL acted as the agent to shipper, DMD Auto. Complainants were from to subpoena any information they wished from the clearly identified ocean carrier or the shipper.

Complainants never paid any storage with respect to this vehicle that has been in storage for over three years. See Respondents' proposed finding of fact #1 and #25-26. MTL continuously asked Complainants to pay for the storage, and now they are seeking copies of AES declarations.

In response to the foregoing, complainants were provided with a Dock Receipt dated May 14, 2018. While respondents argue that the car was allegedly abandoned, the question remains as to how that is possible if the storage invoice for that car was dated May 22, 2018?

As to vehicle with VIN# ending in 0283, while respondents argue that:

Complainants never paid any storage in connection with this vehicle either. (Respondent's proposed findings of fact #29-30. They have abandoned this vehicle.

As set forth above, and given the date of the storage invoice, this simply makes no sense. Additionally, this is contradicted by MTL's agreement to accept a flat fee of \$300 per vehicle.

Last, and as to Container# TCNU 2645133, respondents have now simply concocted a new story for the first time that complainants and the undersigned allegedly have an ulterior motive in requesting irrelevant documents when Complainants allegedly refused to pick up their vehicles at destination. In response to this, the Presiding Office is respectfully asked to note that the Port of Loading (in this case this the Port of New Jersey) could only accept this container with only one dock receipt. MTL could not drop off this container with two separate Dock Receipts, which means that MTL created the second Dock Receipt after the fact.

As to the issue of documentation regarding alleged unpaid storage charges, on June 15, 2018 undersigned counsel wrote to Mr. Pogil:

"...Please send the itemized invoices and house bill of loading immediately which we have been asking for since May 18, 2018, so that we can settle this account...". (See Respondents' Response to Motion for Reconsideration of June 21, 2021 at Exhibit "4" and Compl. Proposed FF# 111).

MTL ignored this request and MTL also unreasonably charged excessive storage charges for the storage of the subject vehicle and on June 22, 2018, counsel for respondents, Garry Pogil, Esq. emailed counsel for complainants with the Subject: Re: 038CHI1556516 / TCNU2645133 / NY-TINCAN / ETA: 06/21. The body of the email reads in relevant part as follows:

I made sure that these cars would be released to your client and not to somebody else, and it's my understanding that your client can pick them up without making any additional payment with respect to this container. (See, Complaint at ¶ "153"). (See, also, Answer at ¶ "153" and see also Complainants' Proposed FF# 23).

The Presiding Officer as respectfully asked to take foregoing into consideration to the extent that it is relevant to the issues of MTL's refusal to provide documentation regarding alleged unpaid storage charges (because none such documentation existed and there were no unpaid storage charges) and with regard to the fact that MTL now claims that the cars referenced in the above email from MTL's counsel were now allegedly claimed to have been abandoned.

CONCLUSION

As set forth above, respondents have abjectly failed to interpose opposition sufficient to warrant denial of complainants' claims herein, or to overcome the fact that complainants have met their burden of proving each and every element required in order to establish respondents' violations of section 41102(c) of the Shipping Act of 1984, 46 U.S.C. §40101 et seq. (the "Act").

Consequently, Complainants request that the Presiding Officer make an award of reparations in favor of complainants and that any additional discovery issue raised by complainants herein be addressed, and to the extent necessary, that respondents be compelled to produce additional documentation as directed by the Presiding Officer.

WHEREFORE, it is respectfully requested that the Presiding Officer **make** an order made commanding said respondents to pay to Complainants by way of reparations for the unlawful conduct hereinabove described, the sums described herein, with interest and attorney's fees, costs and expenses, or such other sum as the Commission may determine to be proper as an award of reparation; that the Commission issue an Order holding that the respondents Alla Solovyeva and Raya Bakhriev individually, and Marine Transport Logistics Inc. violated the Shipping Act of

1984; and that the Commission issue such other and further order or orders as the Commission determines to be just and proper.

Dated: October 13, 2021
Brooklyn, New York

Respectfully Submitted,

/s/ Marcus Aurelius Nussbaum
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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the **COMPLAINANTS' REPLY BRIEF and COMPLAINANTS' RESPONSE TO RESPONDENTS PROPOSED FINDINGS OF FACT** upon Respondents' Counsel at the following address:

by email to: garry.pogil@gmail.com.

/s Marcus Aurelius Nussbaum

Marcus A. Nussbaum, Esq.

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marcus.nussbaum@gmail.com

Dated: October 13, 2021
Brooklyn, New York